

place too much emphasis on volume. Some say that if breakout volume isn't unusually robust (above average), then discard the pattern. I think that's a mistake, but the choice is yours.

[**Table 50.7**](#) shows how often a stop placed at various locations in the pipe will trigger. For example, I found that if you place a stop-loss order at the top of the pipe, it'll hit between 3% and 5% of the time (depending on the market). Move it to the bottom of the pattern and it'll hit much more frequently, as the table shows.

When placing a stop, be sure to check the size of the potential loss. Convert the dollar loss into a percentage of the current price, and if you don't become ill because the potential loss is huge, then maybe it's worth using.

[**Table 50.8**](#) highlights the performance of pipes over the last 3 decades.

Performance over time. The 1990s showed better performance than more recent decades. However, the returns have been quite stable.

[**Table 50.8**](#) Performance and Failures Over Time for Bull Markets

Description	Bull Market
1990s	−20%
2000s	−18%
2010s	−18%
Performance (above), Failures (below)	
1990s	11%
2000s	15%
2010s	15%